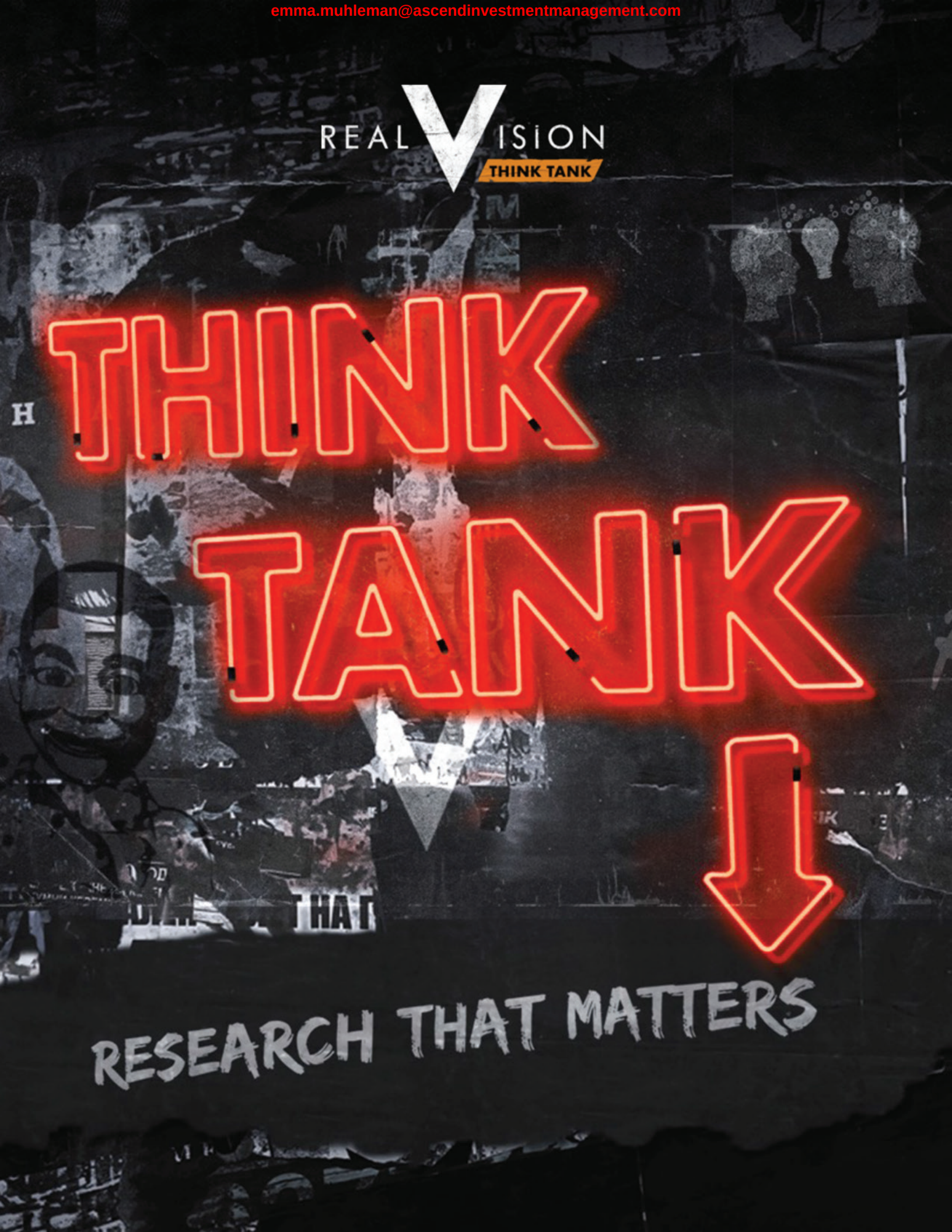
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THE DISTILLERY

A distillation of the thinking of 30 of the world's best financial researchers combined with an analysis of the most important market drivers each week.

APRIL 04, 2018

Hello,

Welcome to ***The Distillery***, packed with all the latest developments and the condensed wisdom of the best independent thinkers in finance, economics, and markets.

Here are this week's ingredients:

- **Charts that matter: Test of the 200DMA and the benign state of bond yields**
- ***The Market Drivers*: Who's the driver? Are equities leading bonds?**
- ***On The Radar*: Long term opportunities are few and far between**
- ***P.S.* Are European Industrials about to break?**

In The Spotlight

- **Northman Trader – Big Tops**
- **E-MC^2 – Evolving volatility and offshore funding**

Take a neat shot of the markets with us now.

Milton



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THE WEEK IN CHARTS

A distillation of the key themes that are driving markets. Not what happened, but why it happened. Hear what are our contributors are saying and why they're saying it.

FIRST TEST OF THE 200DMA

The S&P500 broke through the 200DMA but lacked the momentum for a clean break. The end-of-quarter, first-of-month flows have further increased the readings of realized volatility. Risk-parity style funds remain in selling mode.

S&P500. AN UNCONVINCING BREAK OF THE 200DMA SO FAR.



Source: RV TT & Bloomberg

YIELDS DRIFT AGAIN

The US yield curve confounds again by continuing to flatten rather than steepen, either bearishly (higher long-end yields) as expected by CrossBorder and MSA or bullishly (lower front-end yields) as expected by JDI. The yield curve has historically inverted, bottomed, and turned well before an equity market peak and/or a recession. It would therefore be unusual if the market peak is already in, but that is what many people now think.

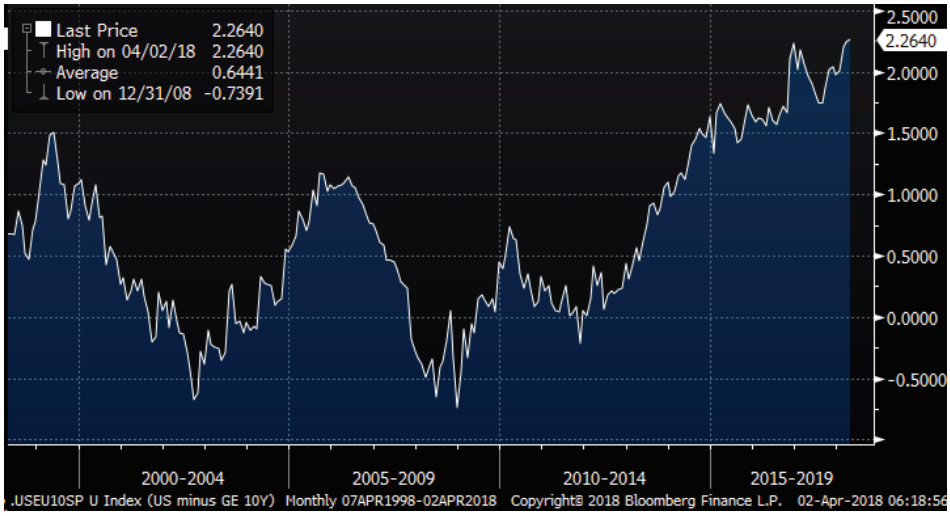
US 10Y YIELD MINUS US 2Y YIELD (2S10S CURVE)



Source: RV TT & Bloomberg

The fall in US bond yields has been more than matched by the decline in German 10-year (Bund) yields, which have again dipped below 50bps. The German move looks more impressive because the starting point is a much lower nominal level. The spread between the US 10Y and the German 10Y yield has made a new high. These are the highest levels since German reunification.

SPREAD BETWEEN US 10Y YIELD AND GERMAN 10Y YIELD



Source: RV TT & Bloomberg

The EUR remains close to its recent highs, because flows have dominated rate differentials. The apparent peak in global growth may start to favor the USD again.

Although yields have pulled back, 10Y real yields (nominal yield less inflation expectations) are close to the critical level. It seems unlikely that we'll get a surge, because futures positioning is short, especially in the belly of the curve.

US 10Y REAL YIELDS



Source: RV TT & Bloomberg

Exxon is testing its multidecade uptrend and looks vulnerable to any surprise strength in the USD. Some of the grand dames of the old economy will be vulnerable to a combination of slowing growth and declining central bank liquidity. That may be the case for all equities.

EXXON ON ITS LONG-TERM TREND LINE



Source: RV TT & Bloomberg

This remains a critical period for global equities. Bond yields and LIBOR-OIS considerations may have been the catalyst for weaker equities in Q1 (see The Market Drivers), but equities will take leadership if they drop through key levels of support.

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THE MARKET DRIVERS

What are the big themes that are getting our contributors excited or keeping them awake at night? These are the trends you can't afford to miss.

WHICH ASSET IS IN CONTROL?

What led the recent bout of equity weakness? Were rates the catalyst, and can a prolonged equity rout quickly become self-fulfilling, as Juliette Declercq of JDI Research warns?

A key question is whether risk assets had prepositioned for an improved economy. Both equities and yields moved sharply higher from early to mid 2016. Julian Brigden thinks equities may have had their final leg higher:

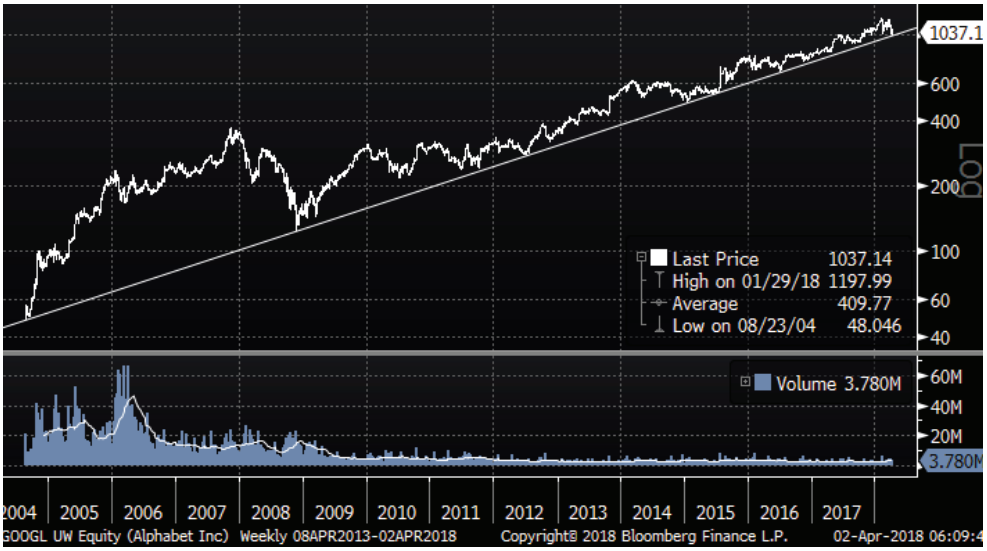
> *I fear we're on the cusp of a 20-percenter. It could be potentially worse. And I do feel, personally, that we've put the highs in.*

If bonds had already sold off in anticipation of economic strength, what happens if economic indicators now roll over?

Within the equity space, tech stocks and in particular the FANG-type names are key. Google is a $720bn Goliath that is approaching its long-term trend, a level that has piqued the interest of Raoul Pal of the Global Macro Investor:

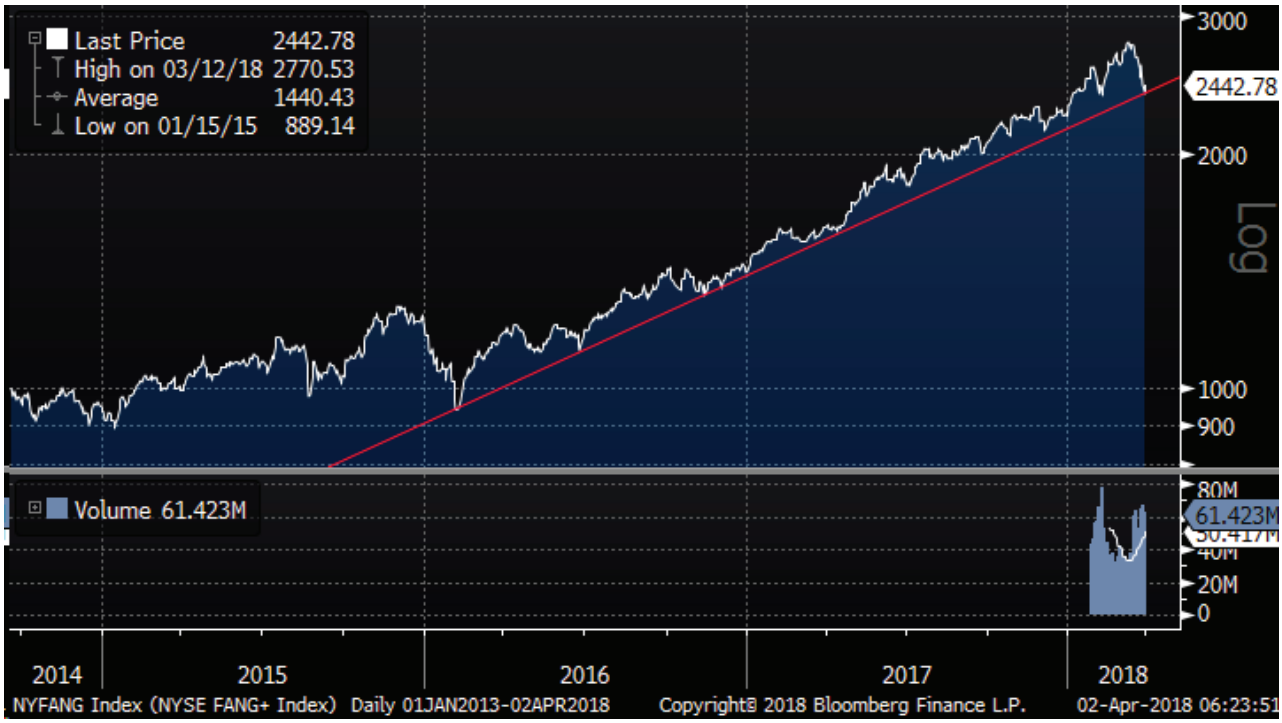
> *If anyone is in doubt how important the recent low was in Google, it's the 200-day moving average and the trend line on the log chart going back to inception. The US equity market will live or die by that line.*

GOOGLE LOG CHART



Source: RV TT & Bloomberg

Google is representative of the wider tech space, with the NYFANG Index also testing a major trend.



Source: RV TT & Bloomberg

Why does this matter? Firstly, FANG stocks have become a very significant component within the S&P 500, as highlighted by Larry McDonald.

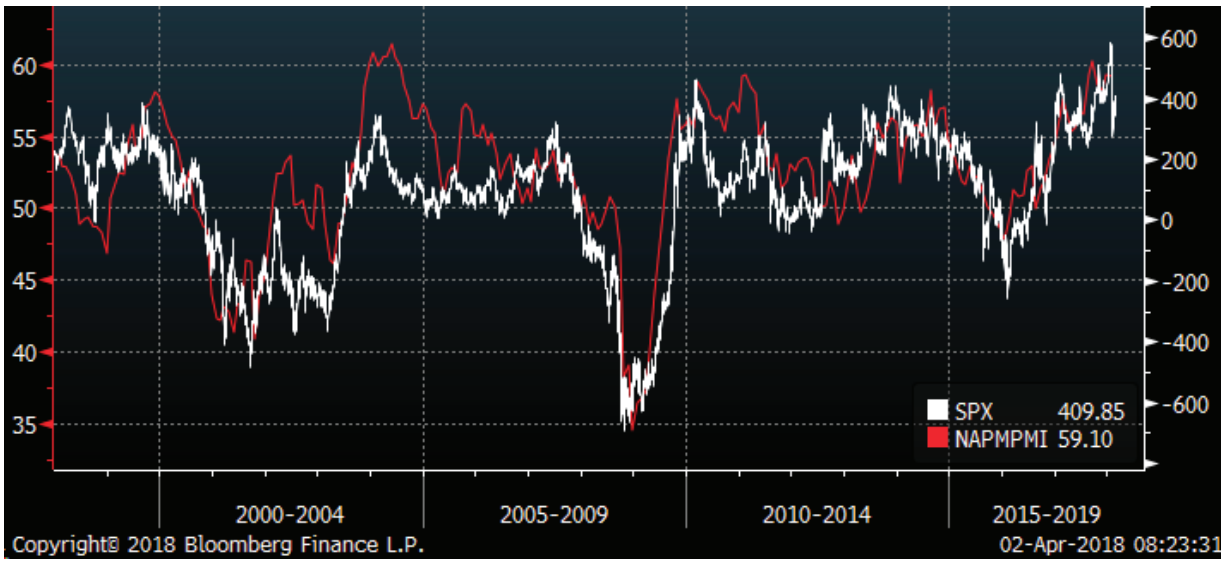
FAANGs % of the S&P 500 Market Capitalization

2018: 11.4%
2017: 10.5%
2016: 8.2%
2015: 7.6%
2014: 6.1%
2013: 5.2%

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Secondly, equities usually follow the performance of the economy, as can be seen by the relationship between the ISM and the year-on-year return in the SPX.

ISM VS YOY CHANGE IN S&P 500



Source: RV TT & Bloomberg

On closer inspection, it would appear that the equity market has been taking the lead over the ISM. The ISM will roll over if equities continue to fall, thus confirming JDI's concern that a prolonged equity rout quickly becomes self-fulfilling.

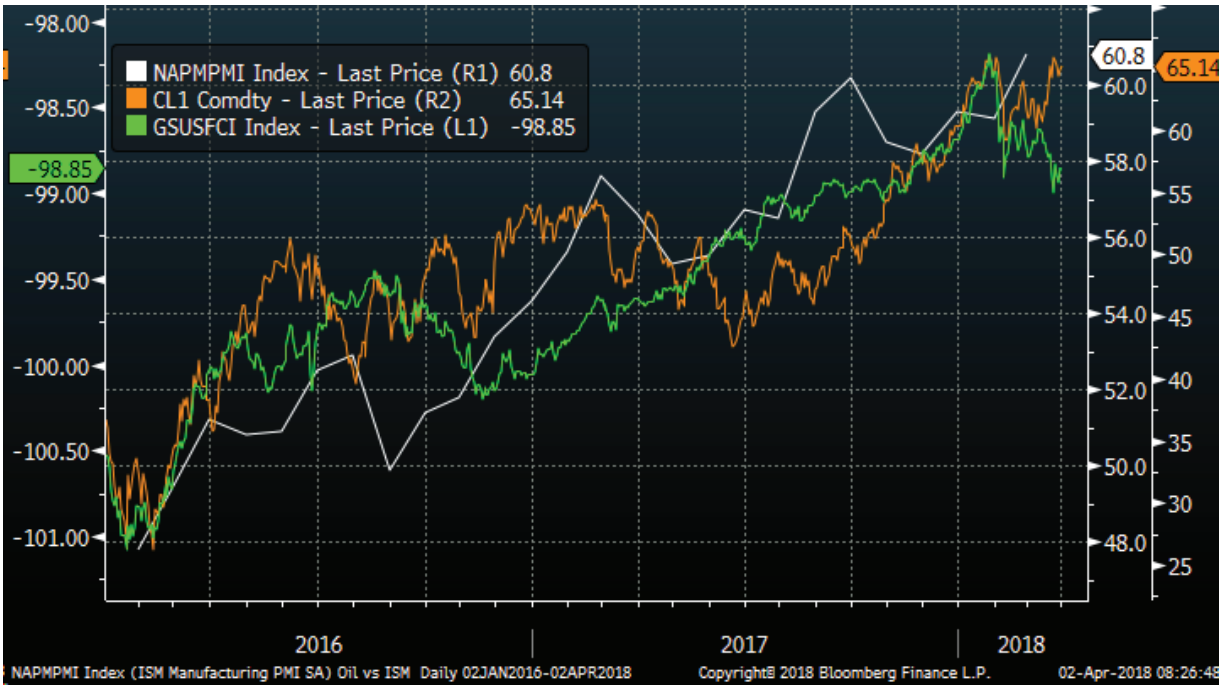


Source: RV TT & Bloomberg

But taking it full circle, does that mean that equities are leading the economy, or is there another culprit? Oil appears to be following ISM. Thus, there is increased risk that we'll see another decline in oil prices if equities drag the ISM lower.

Financial conditions do appear to be leading (inverted in the chart below), but it's not a great relationship. There are a multitude of charts that have risen in a similar manner over the last two years.

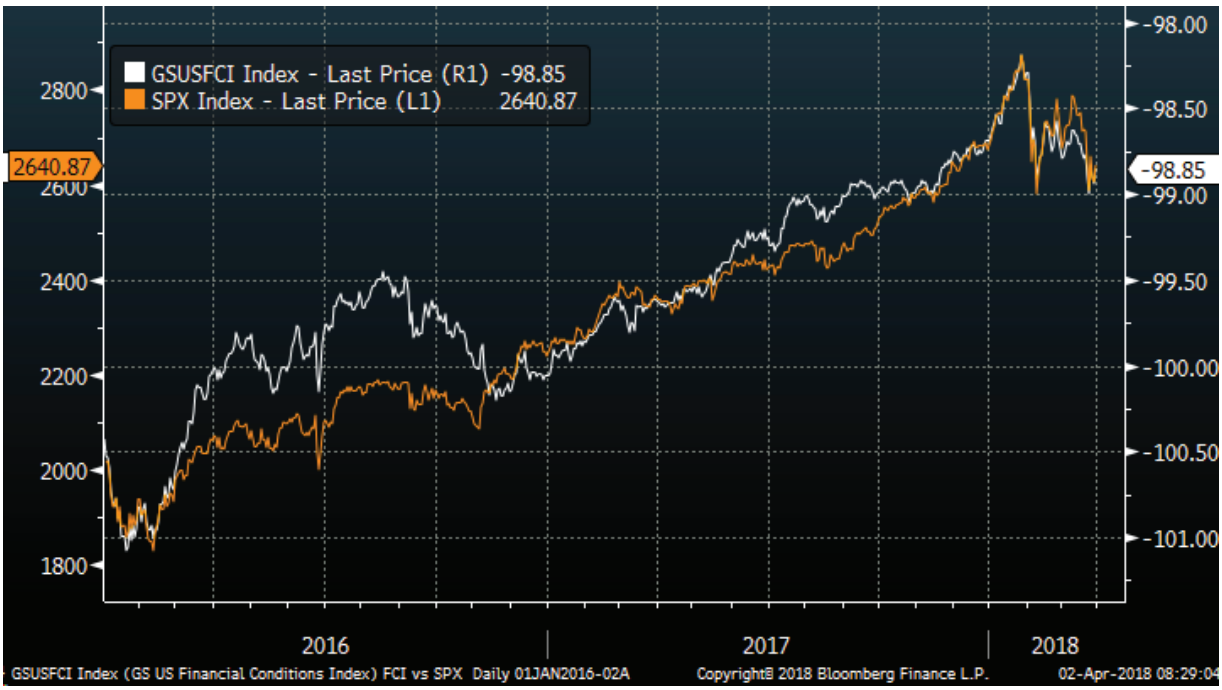
US FINANCIAL CONDITIONS (INVERTED), CRUDE OIL AND ISM



Source: RV TT & Bloomberg

The relationship between financial conditions and US equities is much cleaner, but this appears to be coincidental. Are financial conditions moving higher and taking down equities, or is the decline in equities driving up financial conditions?

US FINANCIAL CONDITIONS (INVERTED) AND THE S&P500



Source: RV TT & Bloomberg

At this point, we must return to the rates markets. To say that higher rates can crash risk assets ignores the last twelve months, where yields and equities have risen in unison. Higher rates in isolation cannot be the catalyst, though the level matters. This year, however, we have seen a spike in LIBOR-OIS that has been coincident with the most recent bout of volatility in equity markets.

Previous spikes in LIBOR-OIS have also been coincident with bouts of equity volatility. This is not a sure-fire cause-and-effect, either. We have not yet seen any deterioration in cross-currency basis (e.g., costs for swapping Japanese yen into dollars over a 5-year period). And the FRA-OIS spread (between spot funding and forward funding) has started to come down, implying that we may see the LIBOR-OIS spread start to stabilize.

LIBOR-OIS AND FRA-OIS – WILL LIBOR OIS STABILIZE HERE?



Source: RV TT & Bloomberg

These relatively minor moves in various markets may have initiated a vicious cycle across an investment framework that is increasingly dominated by the rules-based funds.

Growth picked up, driving yields higher and leading to a demand for implied volatility. That, in turn, triggered a liquidation event in short-volatility products, which has now driven up realised equity volatility to a point that could trigger an equity sell-off. That sell-off could lead to economic contagion.

The FANG stocks need to hold key levels to avoid triggering a series of events that, from humble beginnings, could cascade across risk assets and this time lead the economy, in a reversal of the historical norm.



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THE SPOTLIGHT

A focus on this week's two contributors and what they've been saying – and why it's a must-read on markets.

NORTHMAN TRADER

NorthmanTrader

MARKETS-MACRO-CHARTS-CRYPTO-ALERTS-TECHNICALS

Sven Henrich of the Northman Trader combines macro fundamentals, stock picking, and technical levels to drive his investment decisions. Often sceptical but always pragmatic, he saw that the market was hideously overstretched because the world got coordinated central bank intervention when the world needed coordinated solutions. Whilst central banks continue to pump liquidity, it is tricky to translate bearish thoughts into bearish trades.

LAST TIME AROUND...

Northman Trader made its RVP debut with a take on where markets were, where they might ultimately be going, and how to trade them in the meantime. US stocks were overvalued on almost any measure – relentless liquidity continued to drive them higher.

> *The US Federal Reserve, consciously or not, outsourced QE across the globe resulting in an unprecedented expansion in quantitative easing.*
>
> *Central banks have intervened in every human way possible to make the banks whole by re-inflating the housing market and stabilizing the financial system*

In September 2017, Northman saw no change to the 'extraordinary' regime of easy money. The only real change was that it was now the new normal. While central banks were keeping the Titanic afloat, there was plenty of money to be made rearranging the deck chairs. Northman went back to Trading 101 – process and flexibility. The short-term setups were there, you just needed to follow the trendlines... until they were broken.

WHAT ABOUT RIGHT HERE, RIGHT NOW?

There has been a lot of action in the first quarter of 2018, leading to the big question: is another big top now in? The starting point for Sven is to compare today's price action with previous topping formations:

> *I wanted to share some thoughts on market tops and identify if the previous big market tops can be informative for our current markets*
>
> *We've seen a similar constellation before. If you are guessing the year 2000 you are guessing correctly.*

There are many similarities with some of the previous big tops of 2007, 2000 and even 1987. But there is one ingredient that is still missing. Sven runs through the check-list of key criteria. The warning signs are flashing hard and fast, but a crucial element of a typical top looks to be absent, for now.



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E-MC²

e-MC² Advisors

Real Vision asked E-MC² to debut on Think Tank this week and give an overview of two critically evolving issues. Has the short volatility unwind run its course? Is the widening of the LIBOR-OIS spread an indication of an evolving stress in global funding markets?

E-MC² combine macro, micro and quantitative analysis to look at financial issues from a variety of angles. The big picture matters, but the influences can range from the obvious to the arcane. The catalysts can emanate from any asset class. Keeping abreast of all the markets helps to provide an early warning to investment opportunities and potential pitfalls.

WHAT ABOUT RIGHT HERE, RIGHT NOW?

What remains to come in terms of the unravelling of the "implicit" (vs. explicit) short volatility trade? The explicit short volatility strategies (think XIV ETF and VIX futures) that took a hit in February were only the tip of the iceberg. Trillions are indirectly invested in the form of disguised / synthetic short volatility portfolios, such as volatility control strategies required by insurance companies, risk parity and other rules-based styles, all of which have yet to unwind.

What of the rise in LIBOR-OIS? Is this an isolated incident or is it a portent of tightening financial conditions? Can the USD re-awaken or are the stresses on the dollar now a permanent feature due to a shift in the sources of global liquidity?

E-MC² will tackle these thorny issues and shed some light on the probable direction that these pivotal undercurrents will take.

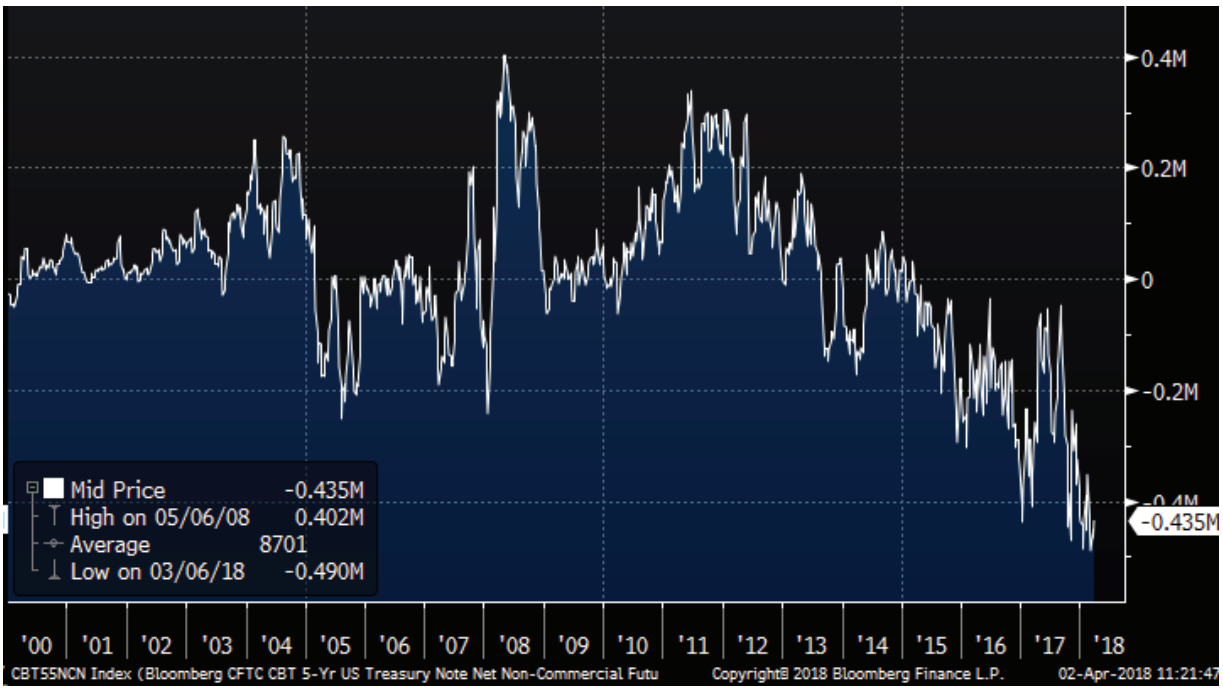


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ON THE RADAR

The bond bull and bear camps have been well documented on these pages. Those focused on demographics tend to fall into the bullish camp. Those focused on momentum and fund flows tend to be in the bearish camp. Stretched (short) positioning does throw a spanner in the works, but that is generally a shorter-term concern.

US 5Y BOND FUTURES – NET NONCOMMERCIAL POSITIONS ARE SHORT



Source: RV TT & Bloomberg

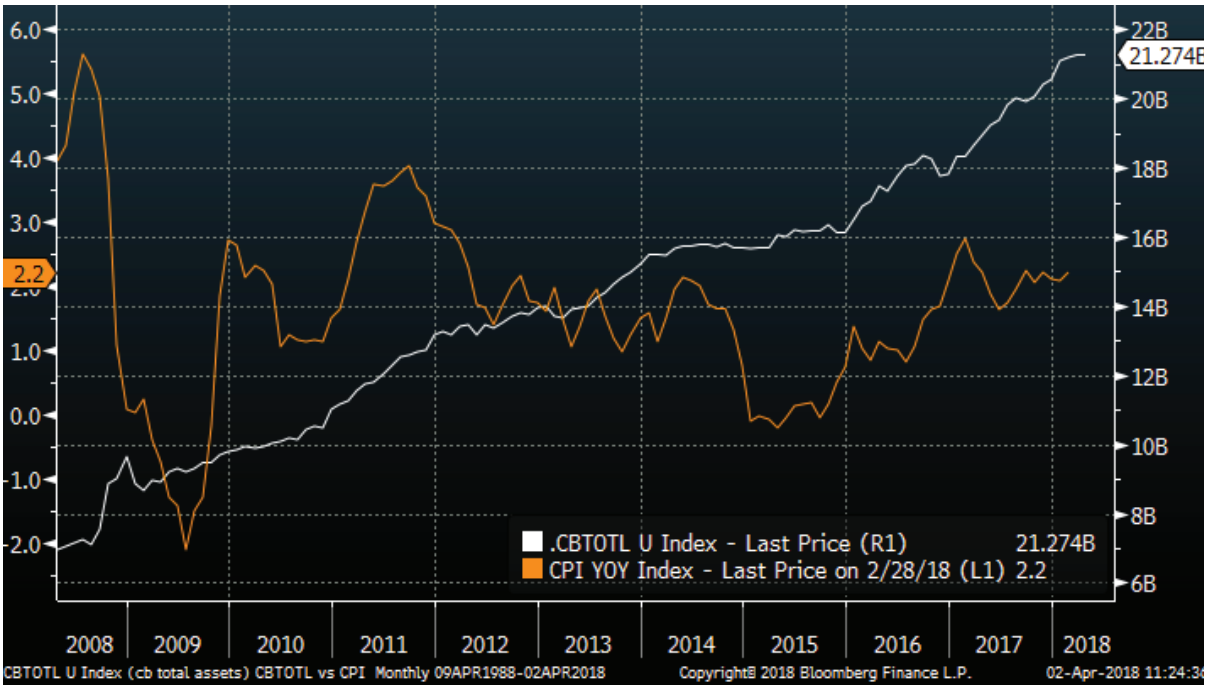
The time frame clearly matters. Whilst positioning suggests there are more bears than bulls at this time, the outlook over an extended period is less clear. If yields rise, will they reset higher for a prolonged period, or will they trigger a risk-off event that ignites yet another flight to safety (and push yields back down again)?

In the camp for a prolonged period of higher yields are Crossborder Capital, MSA, and MI2 Partners, who all look for a reversal in the enormous flows that were initiated by the aggressive antics of central banks in Europe and Japan. Longer-term bulls are the likes of Global Macro Investor and Jeff Snider of Alhambra Investments, who think that the market's mechanism is broken and needs to be reset.

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But what about the supertanker trend? Central banks have passed around the parcel of liquidity accommodation, but they were all responding to the crash of 2008 and the excesses that had built in the years before (and indeed after). The Fed has injected $4 trillion. Global central banks have injected close to $20 trillion in total. None of this had much impact on inflation even when global growth entered a cyclical upswing. The upswing will inevitably become a cyclical downswing, even if it's impossible to predict exactly when.

COMBINED CENTRAL BANK BALANCE SHEET EXPANSION AND US INFLATION

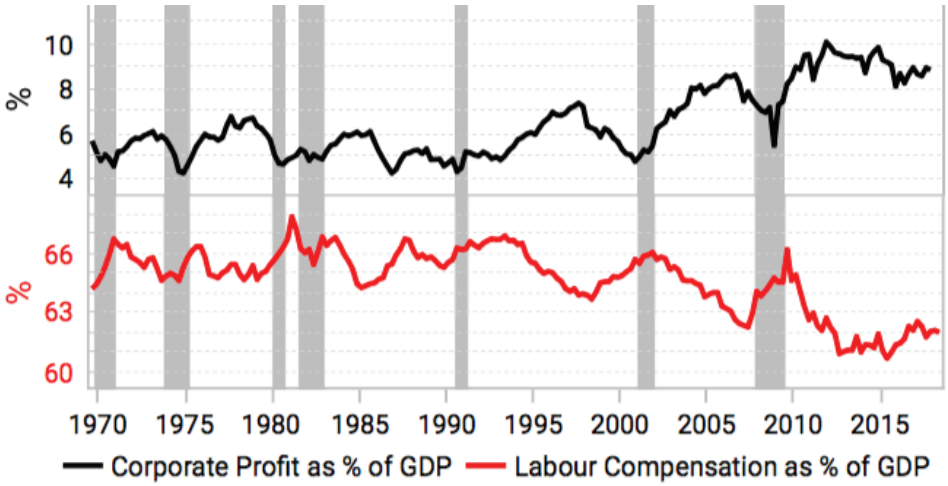


Source: RV TT & Bloomberg

Why did such a large amount of credit have so little impact, and why did the velocity of money remain subdued? After the dot-com bust but prior to 2008, and for most of the period after 2009, interest rates were significantly below the growth rate, even though the growth rate has recently been anemic. There was no need to squander capital on productive means when it could be put to better use via share buybacks.

Furthermore, as Jonathan Tepper of Variant Perception pointed out in a recent Real Vision interview, industrial concentration has created monopolies and oligopolies across many global businesses. Record margins persist at the expense of lower wages.

CORPORATE PROFITS AND LABOUR COMPENSATION AS % OF GDP



Source: Variant Perception

No need for capital expenditures when the workforce can be squeezed. Monopolies take cheaper inputs from dispersed suppliers but pass only a portion of this savings on to the end customers.

Now factor in the developed world's future liabilities. US corporate pensions have a shortfall of $3.85 trillion, according to the FT in 2017. That's roughly the size of the Fed's balance sheet's expansion over the last 10 years. The US Treasury has calculated that the national 75-year deficit will be $46.7 trillion. Some $4 trillion of Fed liquidity per decade for the next seven decades would fail to fill that hole. Larry Kotlikoff of Boston University has calculated that the long-term liability is closer to $210 trillion. Even if that figure is dismissed as excessive, the number is probably somewhere between $46 trillion and $210 trillion.

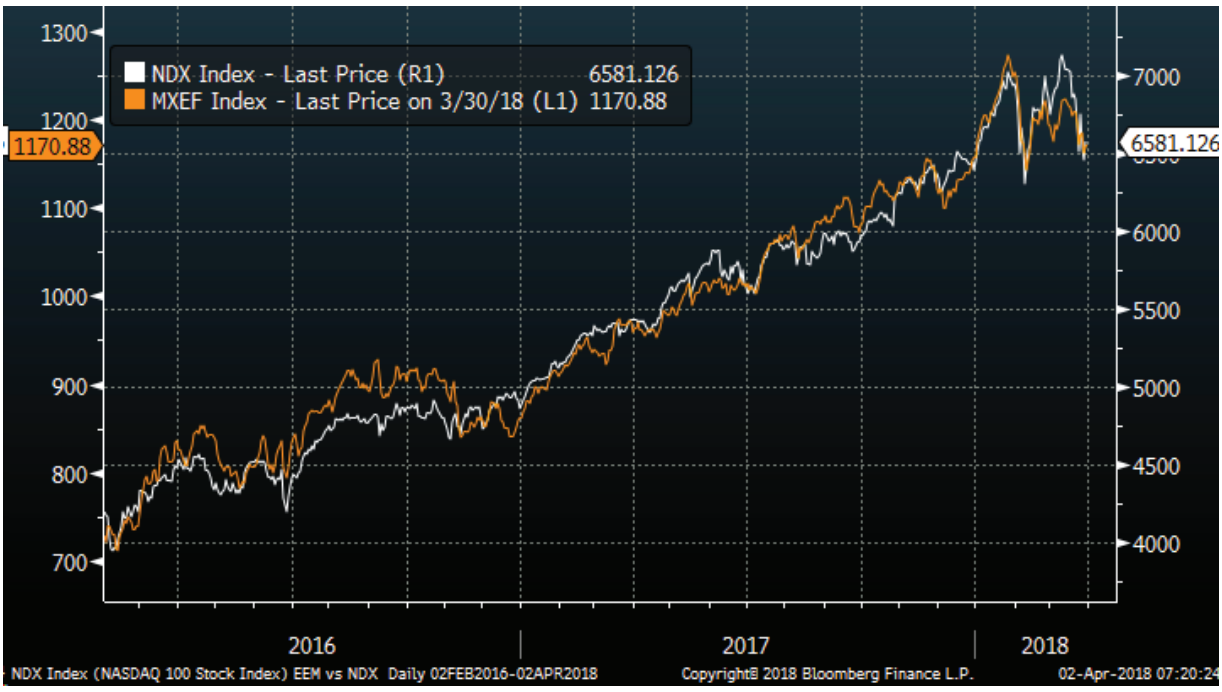
It is unlikely that the bond market will be a good long-term investment, long or short, to tackle that shortfall in liabilities. Currently, yields are too low to make a difference, even compounded over an extended period of time. The potential downside, whilst significant, is still not a game changer. Mike Oliver argued in a recent interview that.

> *[B]eing short, the bonds – unless you're using leverage – won't create as much percent decline as, let's say, stocks at some point. I would use the bonds as a leadership indicator of trends.*

THE CUPBOARD IS BARE

What are the long-term investments? Wealth protectors should look at gold (and cash in a 'safe' bank). However, like bonds, this is unlikely to move the dial for someone with a significant shortfall. Long-term liabilities should be matched to opportunities that have long-term potential, such as the demographics of Southeast Asia and the frontiers of Africa. No doubt alarm bells will already be ringing – these are generally risky investments. And perhaps we should say very risky. We have already noted that the MSCI Emerging Markets Index looks suspiciously like the vulnerable NASDAQ:

MSCI EMERGING MARKETS INDEX AND NASDAQ



Source: RV TT & Bloomberg

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India's long-term potential, if it focuses on a digital economy rather than a manufacturing economy, is robust. But this is an equity market that is correcting at the moment. It has a high valuation, and suspicion remains that the country's historical social inequality will remain an impediment. If India can monetize its demographic dividend, it will be a great long-term opportunity.

Countries within Asia that should benefit from China's Belt and Road Initiative also look stretched. Few investors will want to dive into Vietnam at these levels:

MSCI VIETNAM – THE PARTY HAS ALREADY STARTED



Source: RV TT & Bloomberg

Optimists may still see excess long-term growth potential in developed markets, but pragmatists will be wary. Developed markets are unlikely to provide the sort of 20-year returns that are needed for the majority of investors' current retirement requirements, unless leverage is employed. Capital protection will be difficult enough.

Inevitably, developed-market retirees will pin their hopes on the expectation that selected emerging markets have the potential long-term profile to offset the low returns at home. But, on a 20-year view, investors can afford to be patient until the direction of synchronized global growth and the direction of the USD have resolved themselves.

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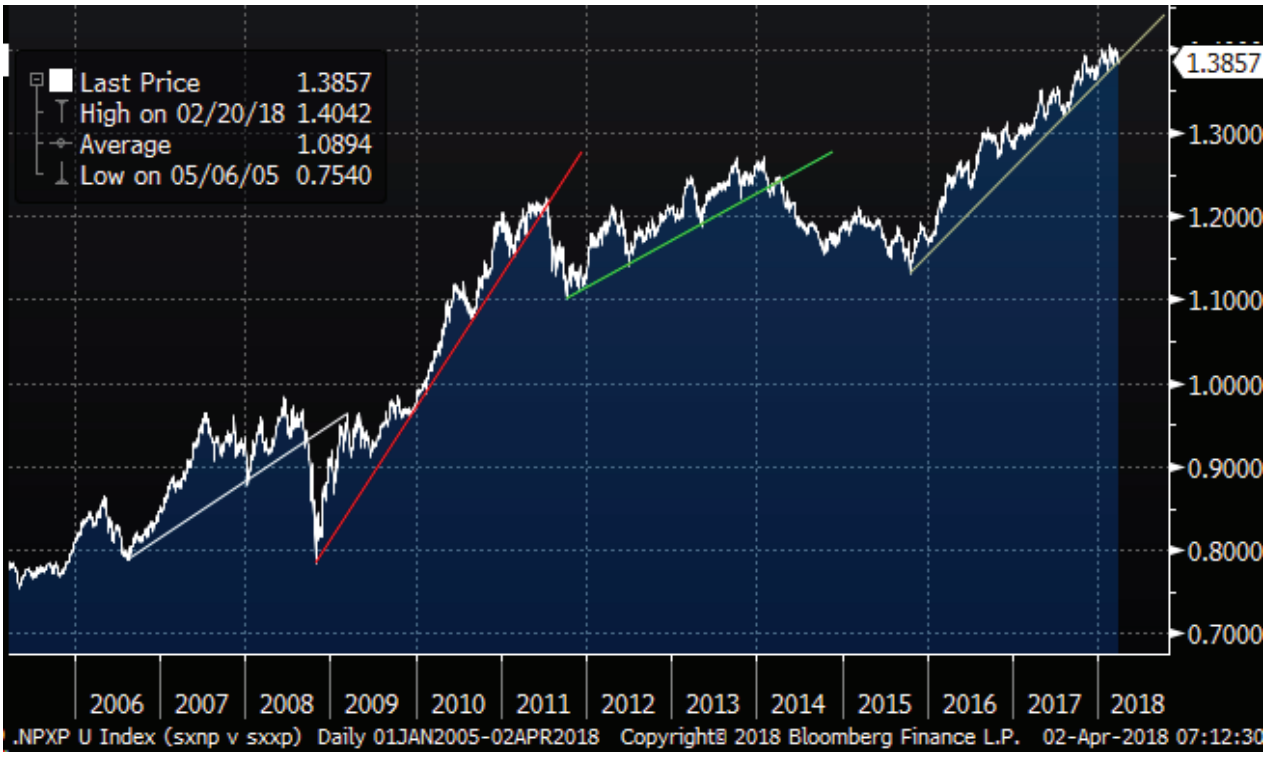
It would be unfair to leave you without throwing in this tasty morsel for you to think about...

EUROPEAN CAPITAL GOODS AS A GLOBAL BAROMETER

The ratio of the European Industrials Index (SXNP) versus the STOXX Europe 600 Index (SXXP) has been climbing a well-defined trendline for the last couple of years, roughly corresponding to the global reflation trade. This ratio tends to perform badly when global growth is under pressure (or the US equity market has a steep decline).

The previous three big trend breaks were global events: the 2008 crash, US debt-ceiling and global-growth shock in 2011, and the USD shock from 2014–2015. During the worst of the European crisis, between 2012 and 2013, the European Industrials outperformed the broad European benchmark.

RATIO OF EUROPEAN INDUSTRIALS (SXNP) AND EUROPEAN EQUITIES (SXXP)



Source: RV TT & Bloomberg

The stocks in the index are global in nature and benefited from the weakness in the EUR in 2012, when Europe was in recession but the rest of the world was on a surer footing. In 2014, the European Industrials underperformed despite a significantly weaker EUR, because there was a coincident dollar-led shock to global manufacturing.

The ratio has not yet broken the trend, but if the period of synchronised global growth has now peaked, then this looks like a decent relative trade in preparation for slower times ahead.

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